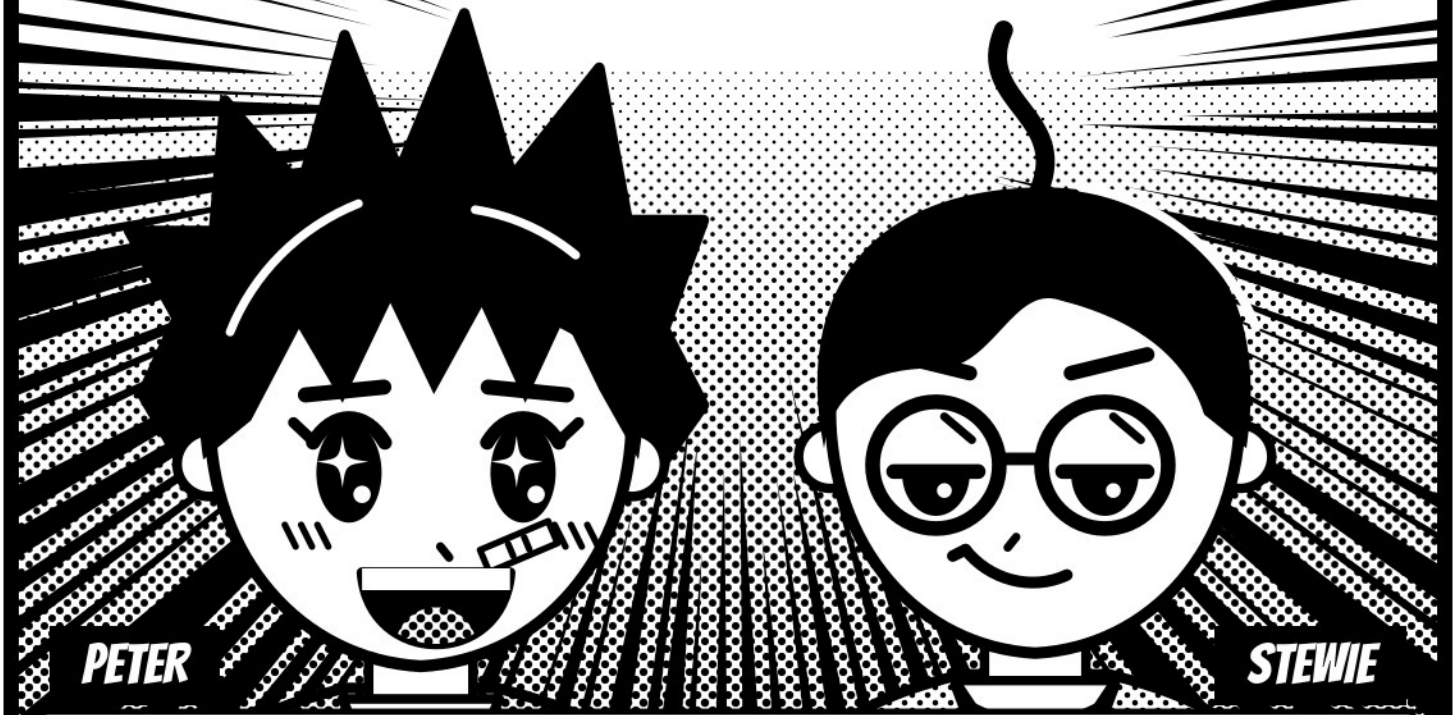
MONEY BRAINROT

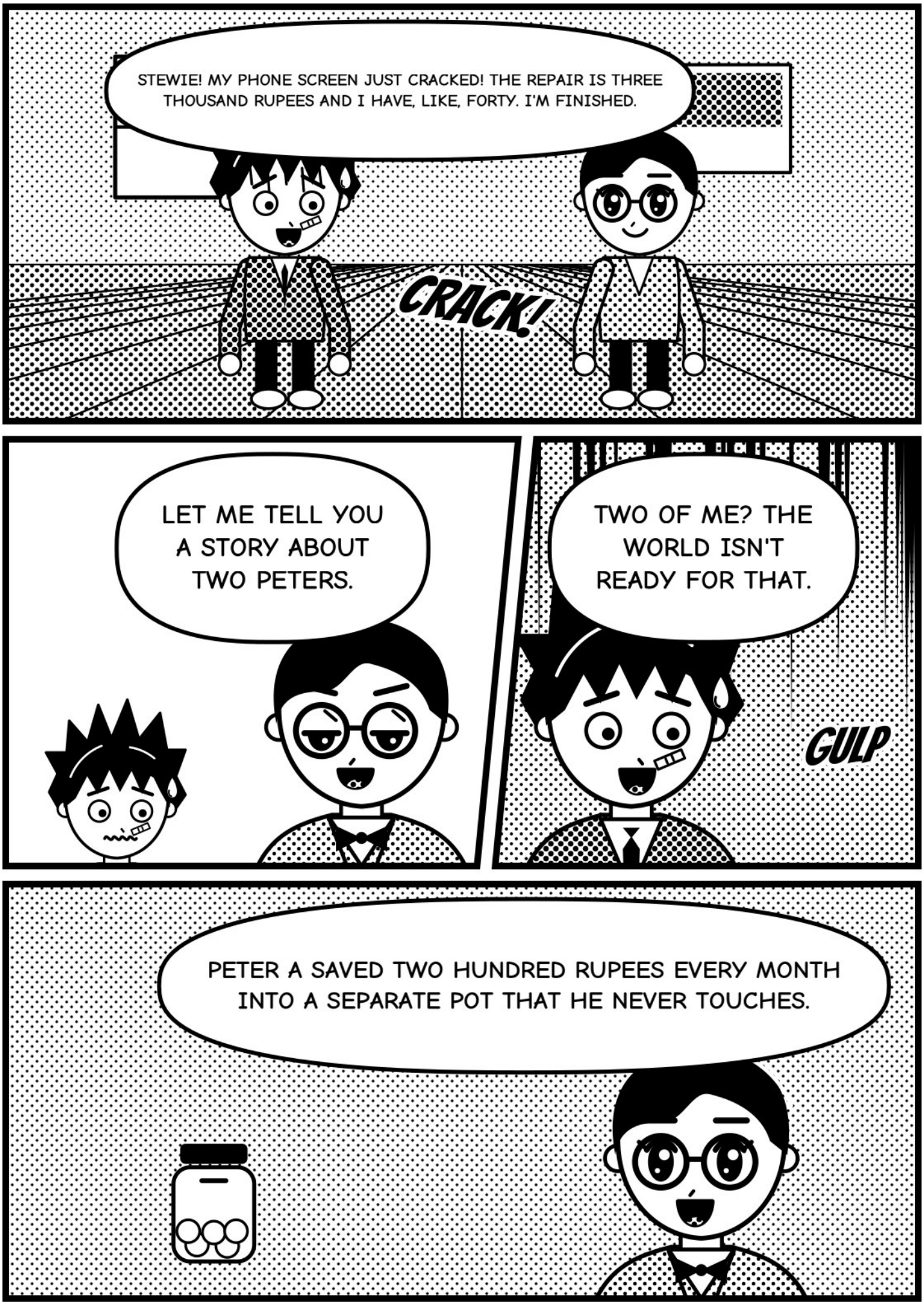
MODULE 2 · SAVE & MANAGE

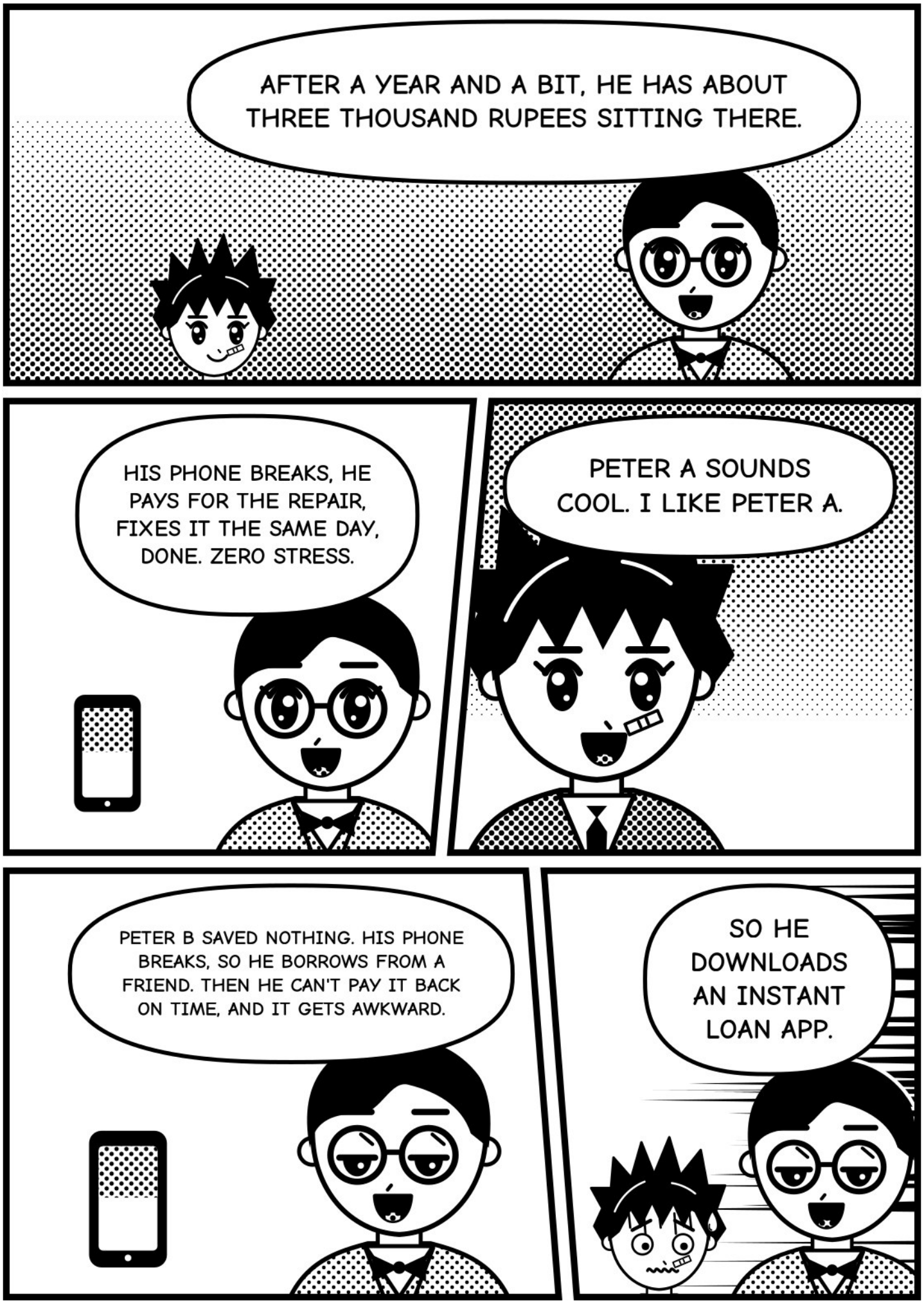
THE EMERGENCY FUND

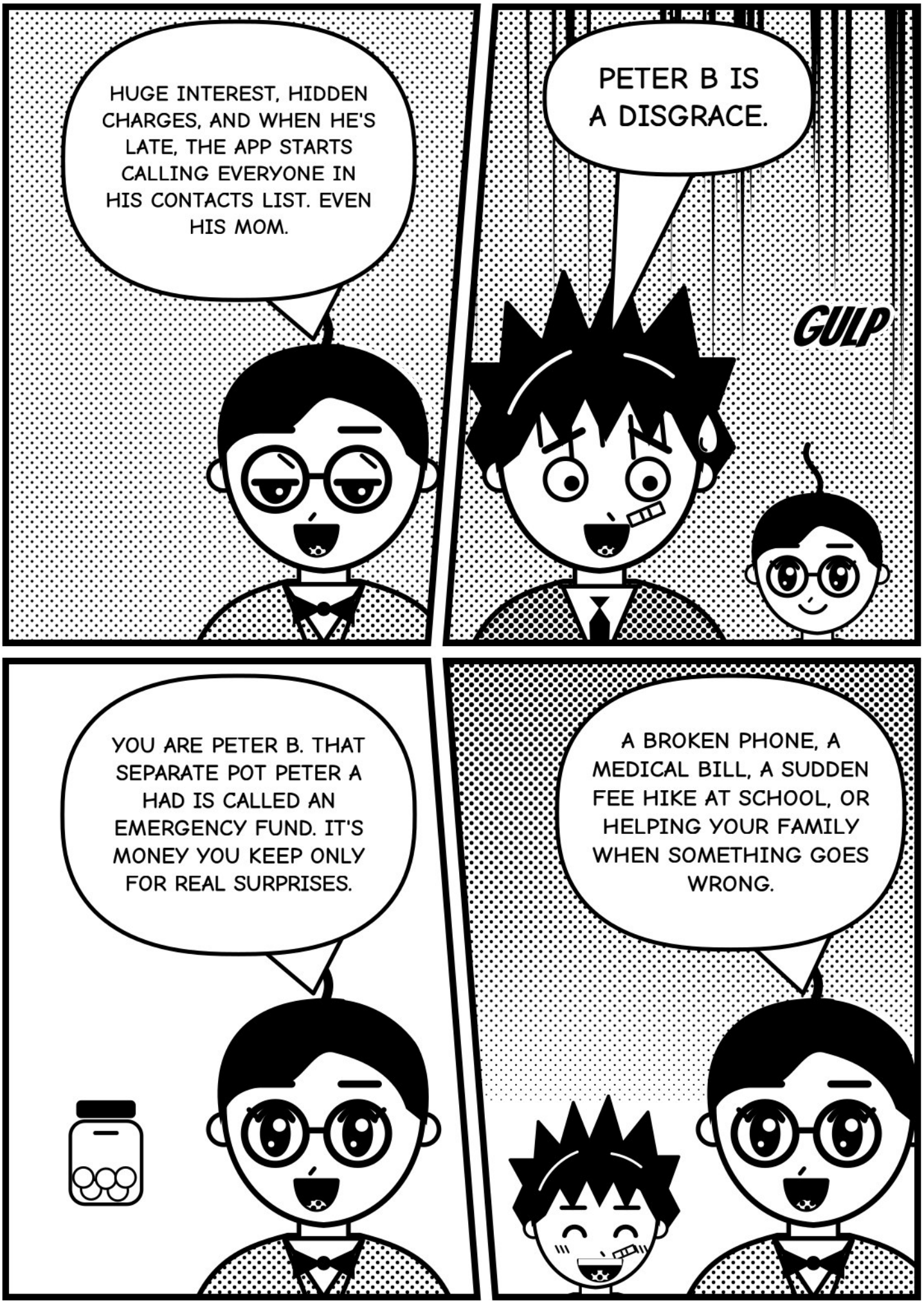
REEL 4

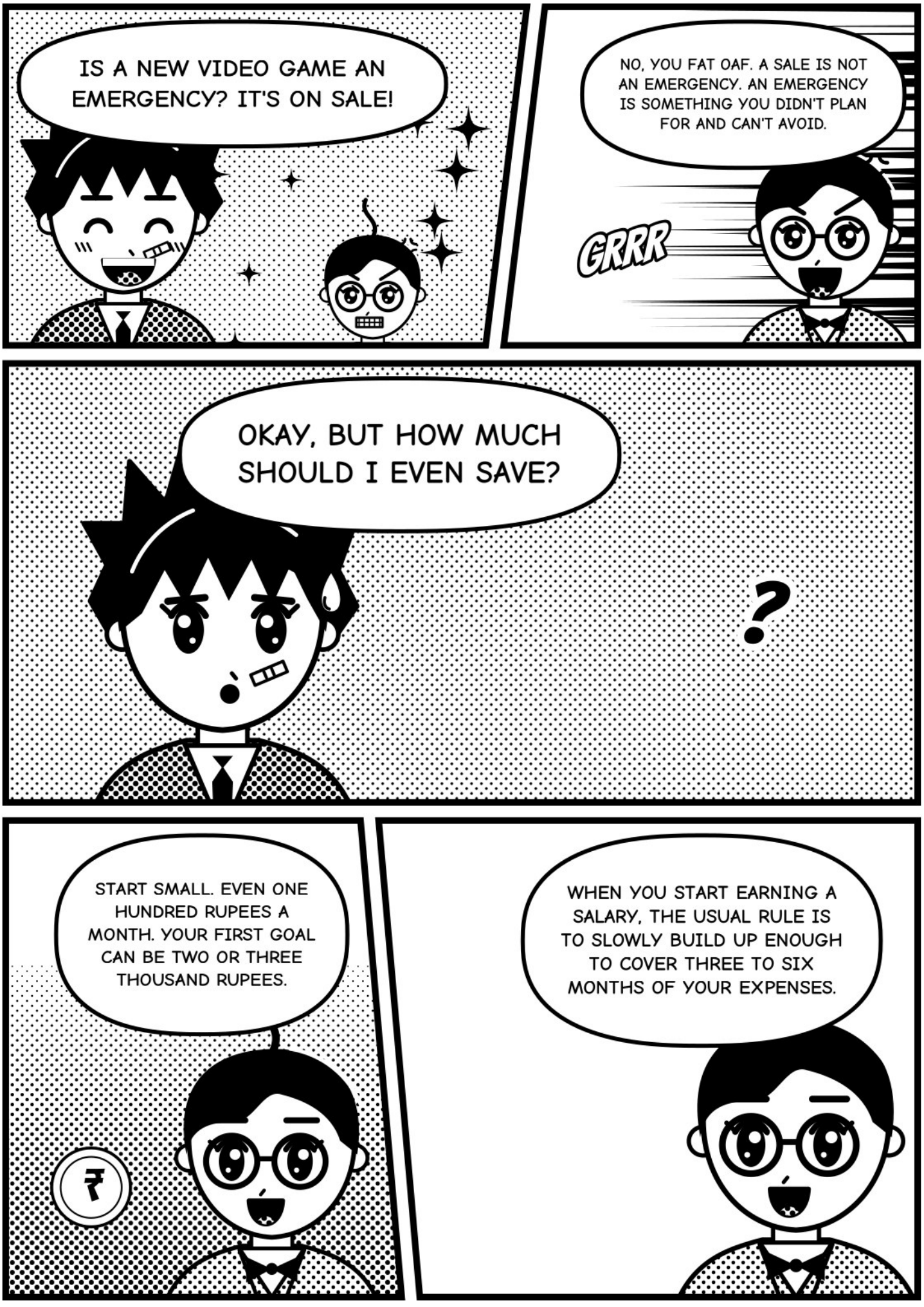


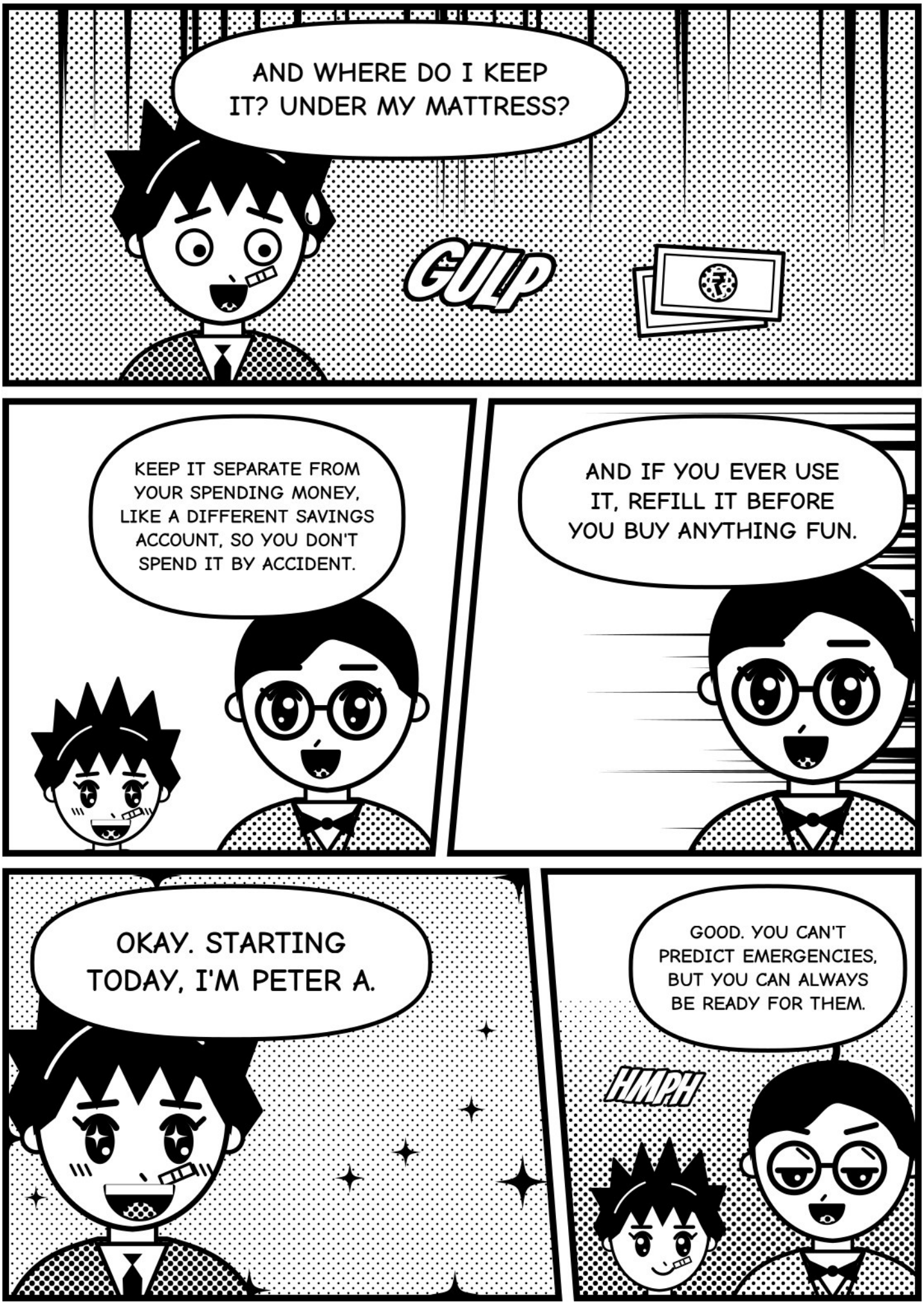
#EmergencyFund #RainyDayFund #SavingsTips #StudentMoney
#InstantLoanApps #FinancialLiteracy #MoneyBrainrot

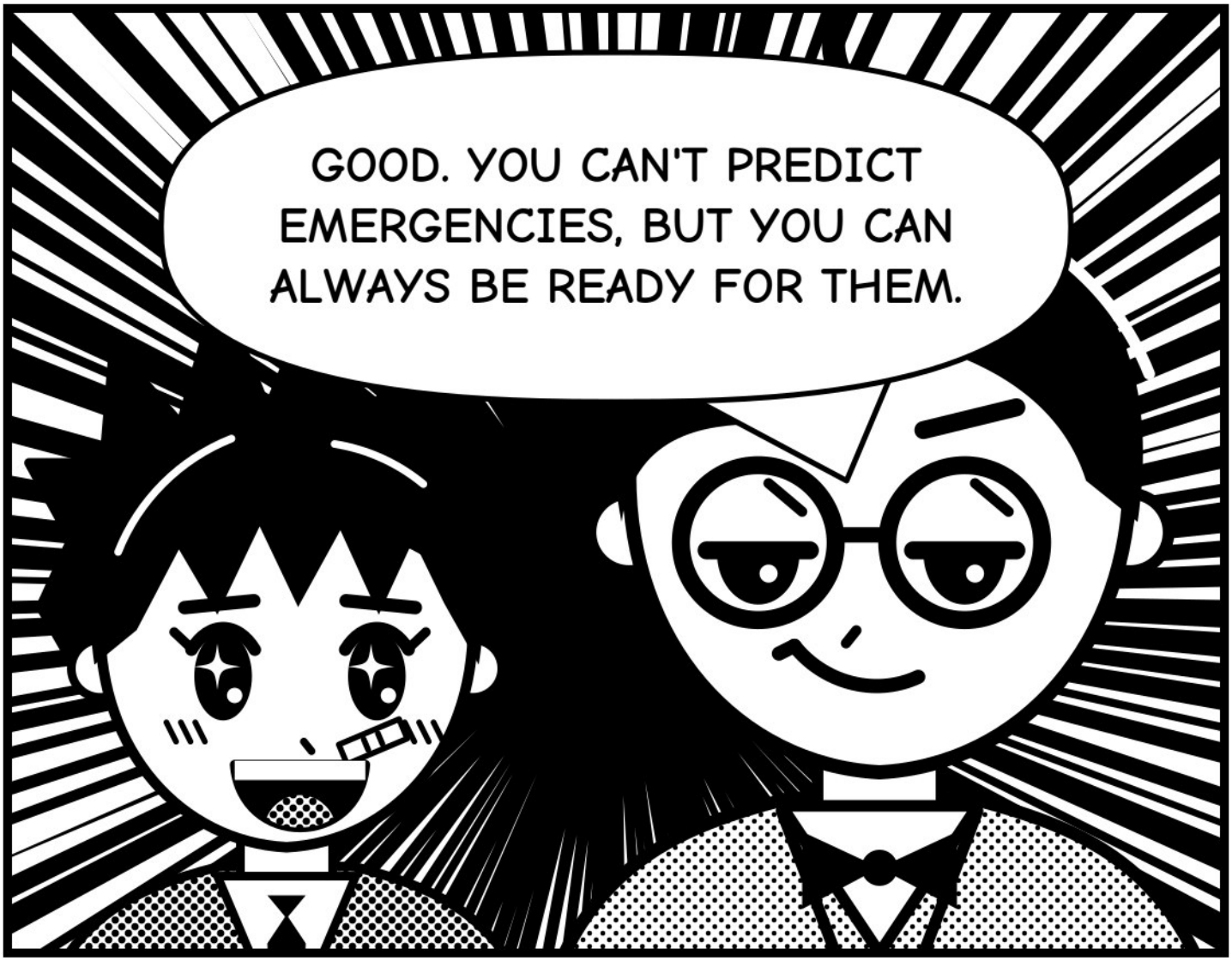

STEWIE! MY PHONE SCREEN JUST CRACKED! THE REPAIR IS THREE THOUSAND RUPEES AND I HAVE, LIKE, FORTY. I'M FINISHED.
CRACK!
LET ME TELL YOU A STORY ABOUT TWO PETERS.
TWO OF ME? THE WORLD ISN'T READY FOR THAT.
GULP
PETER A SAVED TWO HUNDRED RUPEES EVERY MONTH INTO A SEPARATE POT THAT HE NEVER TOUCHES.


AFTER A YEAR AND A BIT, HE HAS ABOUT THREE THOUSAND RUPEES SITTING THERE.
HIS PHONE BREAKS, HE PAYS FOR THE REPAIR, FIXES IT THE SAME DAY, DONE. ZERO STRESS.
PETER A SOUNDS COOL. I LIKE PETER A.
PETER B SAVED NOTHING. HIS PHONE BREAKS, SO HE BORROWS FROM A FRIEND. THEN HE CAN'T PAY IT BACK ON TIME, AND IT GETS AWKWARD.
SO HE DOWNLOADS AN INSTANT LOAN APP.


HUGE INTEREST, HIDDEN CHARGES, AND WHEN HE'S LATE, THE APP STARTS CALLING EVERYONE IN HIS CONTACTS LIST. EVEN HIS MOM.
PETER B IS A DISGRACE.
GULP
YOU ARE PETER B. THAT SEPARATE POT PETER A HAD IS CALLED AN EMERGENCY FUND. IT'S MONEY YOU KEEP ONLY FOR REAL SURPRISES.
A BROKEN PHONE, A MEDICAL BILL, A SUDDEN FEE HIKE AT SCHOOL, OR HELPING YOUR FAMILY WHEN SOMETHING GOES WRONG.


IS A NEW VIDEO GAME AN EMERGENCY? IT'S ON SALE!
NO, YOU FAT OAF. A SALE IS NOT AN EMERGENCY. AN EMERGENCY IS SOMETHING YOU DIDN'T PLAN FOR AND CAN'T AVOID.
GRRR
OKAY, BUT HOW MUCH SHOULD I EVEN SAVE?
?
START SMALL. EVEN ONE HUNDRED RUPEES A MONTH. YOUR FIRST GOAL CAN BE TWO OR THREE THOUSAND RUPEES.
₹
WHEN YOU START EARNING A SALARY, THE USUAL RULE IS TO SLOWLY BUILD UP ENOUGH TO COVER THREE TO SIX MONTHS OF YOUR EXPENSES.


AND WHERE DO I KEEP IT? UNDER MY MATTRESS?
GULP
KEEP IT SEPARATE FROM YOUR SPENDING MONEY, LIKE A DIFFERENT SAVINGS ACCOUNT, SO YOU DON'T SPEND IT BY ACCIDENT.
AND IF YOU EVER USE IT, REFILL IT BEFORE YOU BUY ANYTHING FUN.
OKAY. STARTING TODAY, I'M PETER A.
GOOD. YOU CAN'T PREDICT EMERGENCIES, BUT YOU CAN ALWAYS BE READY FOR THEM.
HMPH



REMEMBER THIS

1. An emergency fund is money kept only for real surprises: a broken phone, a medical bill, a sudden fee hike.

2. A sale is not an emergency. An emergency is something you didn't plan for and can't avoid.

3. Start small, even Rs 100 a month. Later, build up to 3 to 6 months of expenses.

4. Keep it separate, refill it after you use it, and stay far away from instant loan apps.